

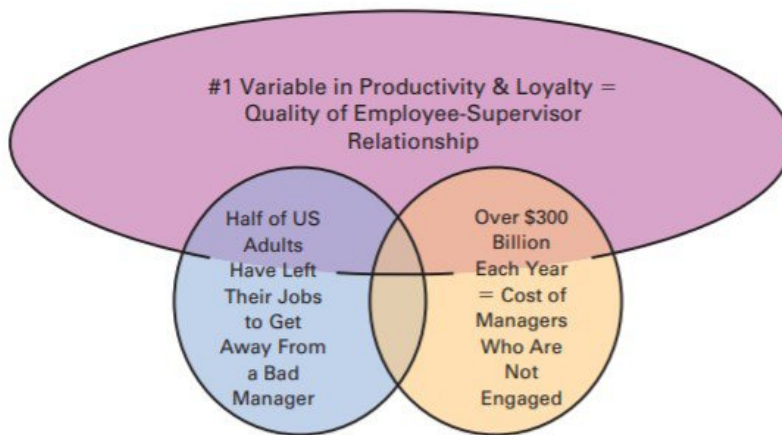


Exhibit 1-3
Managers Make a Difference

MANAGEMENT vs. managers

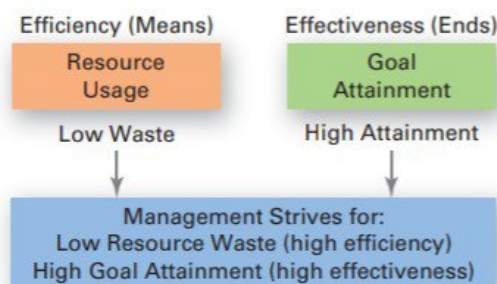
What Is Management?

L01.3 **Management** involves coordinating and overseeing the work activities of others so their activities are completed efficiently and effectively. We already know that coordinating and overseeing the work of others is what distinguishes a managerial position from a nonmanagerial one. However, this doesn't mean that managers or their employees can do what they want anytime, anywhere, or in any way. Instead, management involves ensuring that work activities are completed efficiently and effectively by the people responsible for doing them, or at least that's what managers should be doing.

Efficiency refers to getting the most output from the least amount of inputs or resources. Managers deal with scarce resources—including people, money, and equipment—and want to use those resources efficiently. Efficiency is often referred to as “doing things right,” that is, not wasting resources. For instance, Southwest Airlines has achieved operating efficiency through a variety of practices, which include using one aircraft model (Boeing 737) throughout its fleet. Using one model simplifies scheduling, operations, and flight maintenance, and the training costs for pilots, ground crew, and mechanics are lower because there's only a single aircraft to learn.⁶ These efficient work practices have paid off, as Southwest has made a profit for forty-two consecutive years!⁷

It's not enough, however, just to be efficient. Management is also concerned with employee effectiveness. **Effectiveness** is often described as “doing the right things,” that is, doing those work activities that will result in achieving goals. Besides being efficient, Southwest Airlines' mission is “dedication to the highest quality of Customer Service delivered with a sense of warmth, friendliness, individual pride, and Company Spirit.”⁸ Two of the many reasons cited for the airlines' effectiveness are permitting two checked bags for free and permitting a change in itinerary without incurring a penalty.⁹

Whereas efficiency is concerned with the *means* of getting things done, effectiveness is concerned with the *ends*, or attainment of organizational goals (see Exhibit 1-4). In successful organizations, high efficiency and high effectiveness typically go hand in hand.



management

Coordinating and overseeing the work activities of others so their activities are completed efficiently and effectively

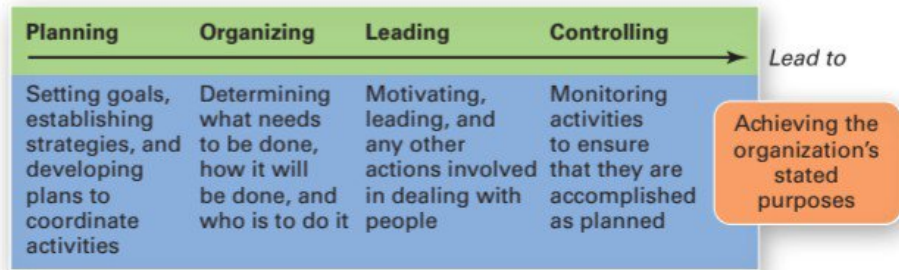
efficiency

Getting the most output from the least amount of inputs or resources

effectiveness

Doing those work activities that will result in achieving goals

Exhibit 1-4
Efficiency and Effectiveness in Management

Exhibit 1-5**Four Functions of Management**

Leading is an important function of The Container Store manager Jaimie Moeller (left). She influences the behavior of employees by leading them in a team huddle before they begin their work day. Coaching employees to succeed in the store's team-selling environment helps Moeller achieve the store's sales performance and customer service goals. Source: James Borchuck/Tampa Bay Times/Zumapress.com/Alamy Stock Photo

**planning**

Management function that involves setting goals, establishing strategies for achieving those goals, and developing plans to integrate and coordinate activities

organizing

Management function that involves arranging and structuring work to accomplish the organization's goals

leading

Management function that involves working with and through people to accomplish organizational goals

controlling

Management function that involves monitoring, comparing, and correcting work performance

What Do Managers Do?

Now let's take a more detailed look at what managers do. Describing what managers do isn't easy. Just as no two organizations are alike, no two managers' jobs are alike. In spite of this, management researchers have developed three approaches to describe what managers do: functions, roles, and skills.

MANAGEMENT FUNCTIONS According to the functions approach, managers perform certain activities or functions as they efficiently and effectively coordinate the work of others. What are these functions? Henri Fayol, a French businessman in the early part of the twentieth century, suggested that all managers perform five functions: planning, organizing, commanding, coordinating, and controlling.¹⁰ (See Management History Module for more information.) Today, we use four functions to describe a manager's work: planning, organizing, leading, and controlling (see Exhibit 1-5). Let's briefly look at each.

If you have no particular destination in mind, then any road will do. However, if you have someplace in particular you want to go, you've got to plan the best way to get there. Because organizations exist to achieve some particular purpose, someone must define that purpose and the means for its achievement. Managers are that someone. As managers engage in **planning**, they set goals, establish strategies for achieving those goals, and develop plans to integrate and coordinate activities.

Managers are also responsible for arranging and structuring the work that employees do to accomplish the organization's goals. We call this function **organizing**. When managers organize, they determine what tasks are to be done, who is to do them, how the tasks are to be grouped, who reports to whom, and where decisions are to be made.

Every organization has people, and a manager's job is to work with and through people to accomplish goals. This is the **leading** function. When managers motivate subordinates, help resolve work group conflicts, influence individuals or teams as they work, select the most effective communication channel, or deal in any way with employee behavior issues, they're leading.

The final management function is **controlling**. After goals and plans are set (planning), tasks and structural arrangements are put in place (organizing), and people are hired, trained, and motivated (leading), there has to be an evaluation of whether things are going as planned. To ensure goals are met and work is done as it should be, managers monitor and evaluate performance. Actual performance is compared with the set goals. If those goals aren't achieved, it's the manager's job to get work back on track. This process of monitoring, comparing, and correcting is the controlling function.

Just how well does the functions approach describe what managers do? Do managers always plan, organize, lead, and then control? Not necessarily. What a manager does may not always happen in this sequence. However, regardless of the order in which these functions are performed, managers do plan, organize, lead, and control as they manage.

**Exhibit 1-6**

Mintzberg's Managerial Roles
 Source: Based on H. Mintzberg, *The Nature of Managerial Work* (New York: Prentice Hall, 1983).

MANAGEMENT ROLES Another perspective has been offered by Henry Mintzberg, a well-known management researcher who studied actual managers at work. In his first comprehensive study, Mintzberg concluded that what managers do can best be described by looking at the managerial roles they engage in at work.¹¹ The term **managerial roles** refers to specific actions or behaviors expected of and exhibited by a manager. As shown in Exhibit 1-6, Mintzberg found ten roles, grouped around interpersonal relationships, the transfer of information, and decision making.

The **interpersonal roles** involve people (subordinates and persons outside the organization) and other ceremonial and symbolic duties. The three interpersonal roles include figurehead, leader, and liaison. The **informational roles** involve collecting, receiving, and disseminating information. The three informational roles include monitor, disseminator, and spokesperson. Finally, the **decisional roles** entail making decisions or choices and include entrepreneur, disturbance handler, resource allocator, and negotiator. As managers perform these roles, Mintzberg proposed that their activities included both reflection (thinking) and action (doing).¹²

A number of follow-up studies have tested the validity of Mintzberg's role categories, and the evidence generally supports the idea that managers—regardless of the type of organization or level in the organization—perform similar roles.¹³ However, the emphasis that managers give to the various roles seems to change with organizational level.¹⁴ At higher levels of the organization, the roles of disseminator, figurehead, negotiator, liaison, and spokesperson are more important, while the leader role (as Mintzberg defined it) is more important for lower-level managers than it is for either middle or top-level managers.

So which approach is better, managerial functions or Mintzberg's propositions? Although each does a good job of depicting what managers do, the functions approach still seems to be the generally accepted way of describing the manager's job. "The classical functions provide clear and discrete methods of classifying the thousands of activities managers carry out and the techniques they use in terms of the functions they perform for the achievement of goals."¹⁵ Still, managerial roles provide insights into what managers do while planning, leading, organizing, and controlling.

MANAGEMENT SKILLS UPS is a company that understands the importance of management skills.¹⁶ The company's new on-road supervisors are immersed in a new manager orientation where they learn people and time management skills. The company started an intensive eight-day offsite skills training program for first-line managers as a way to improve its operations. What have supervisors learned from the skills training?

managerial roles

Specific actions or behaviors expected of and exhibited by a manager

interpersonal roles

Managerial roles that involve people and other duties that are ceremonial and symbolic in nature

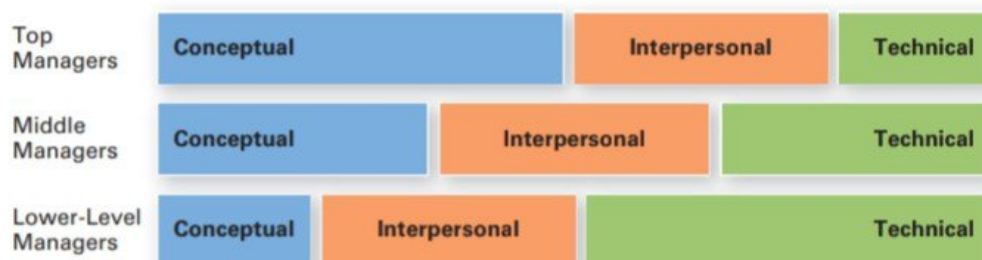
informational roles

Managerial roles that involve collecting, receiving, and disseminating information

decisional roles

Managerial roles that revolve around making choices

Exhibit 1-7 Skills Needed at Different Managerial Levels



technical skills

Job-specific knowledge and techniques needed to proficiently perform work tasks

interpersonal skills

The ability to work well with other people individually and in a group

conceptual skills

The ability to think and to conceptualize about abstract and complex situations

Some things they mentioned learning were how to communicate more effectively and how to comply with safety laws and labor practices.

What types of skills do managers need? Robert L. Katz proposed that managers need three critical skills in managing: technical, human, and conceptual.¹⁷ (Exhibit 1-7 shows the relationships of these skills to managerial levels.) **Technical skills** are the job-specific knowledge and techniques needed to proficiently perform work tasks. These skills tend to be more important for first-line managers because they typically manage employees who use tools and techniques to produce the organization's products or service the organization's customers. Often, employees with excellent technical skills get promoted to first-line manager. For example, Dean White, a production supervisor at Springfield ReManufacturing, started as a parts cleaner. Now, Dean manages twenty-five people in six departments. He noted that at first it was difficult to get people to listen, especially his former peers. "I learned I had to gain respect before I could lead," White said. He credits mentors—other supervisors whose examples he followed—with helping him become the type of manager he is today.¹⁸ Dean is a manager who has technical skills, but also recognizes the importance of **interpersonal skills**, which involve the ability to work well with other people both individually and in a group. Because all managers deal with people, these skills are equally important to all levels of management. Managers with good human skills get the best out of their people. They know how to communicate, motivate, lead, and inspire enthusiasm and trust. Finally, **conceptual skills** are the skills managers use to think and to conceptualize about abstract and complex situations. Using these skills, managers see the organization as a whole, understand the relationships among various subunits, and visualize how the organization fits into its broader environment. Managers then can effectively direct employees' work. For example, Ian McAllister, general manager at Amazon, indicates that a successful general manager understands the whole business. With this understanding, managers can get everyone on the same page. In turn, employees will make a substantial number of decisions in support of the company's vision.¹⁹ These skills are most important to top managers.

MANAGERIAL challenges today and into the future

LO1.4

In today's world, managers are dealing with a host of challenges. We want to briefly focus on six of these: technology, disruptive innovation, social media, ethics, political uncertainty, and the customer.

Focus on Technology

Managers increasingly face challenges in their work because technology has been changing how things get done.²⁰ Cloud computing, artificial intelligence, and robotics are examples of technology. Keeping employees updated on new technologies presents a challenge to many managers. Managers need to work with employees to help them understand why new technology is an improvement over present ways of conducting business. According to Didier Bonnet, coauthor of *Leading Digital*, "The job